

UWM Automated Underwriting (AUS) Help

Running DU & LPA in EASE — a quick broker reference

What the AUS does

An Automated Underwriting System (AUS) takes the loan application (FNMA 3.2 / 1003 data) and runs it against agency guidelines, returning a risk-based recommendation in seconds. It is not a simple pass/fail — it layers risk, so strength in one area (reserves, low DTI) can offset weakness in another. The two engines you'll use at UWM:

- **DU (Desktop Underwriter)** — Fannie Mae's AUS. Generally more flexible on multi-unit properties and tends to be the default first run.
- **LPA (Loan Product Advisor)** — Freddie Mac's AUS, formerly Loan Prospector. Different risk model; often worth running when DU returns a Refer or asks for tough conditions.
- **FHA TOTAL Scorecard** — runs underneath DU/LPA on FHA files. VA and USDA use overlays on top of DU/LPA as well.

Where AUS lives at UWM: EASE

All AUS activity happens inside **EASE**, UWM's proprietary loan origination system (ease.uwm.com). The core flow:

- Drag-and-drop the FNMA 3.2 file or document set into EASE — data auto-populates the loan.
- **Easy Qualifier (EQ)**, the product & pricing engine, qualifies the borrower and shows live pricing across programs. Select product, MI, and calculate the rate.
- Use **one-click AUS** to pull DU or LP; the automated decision returns instantly.
- EASE also lets you run a **side-by-side DU vs. LPA comparison** so you can pick the better finding before locking.

Reading the findings

Result	What it means	Next step
Approve / Eligible	Meets guidelines; reduced docs	Proceed; clear conditions
Approve / Ineligible	Risk approved but a parameter fails (e.g. LTV, loan limit)	Fix the ineligible item, rerun
Refer / Eligible	AUS won't auto-approve risk	Try the other engine; or manual UW
Refer w/ Caution	Significant risk flags	Manual underwriting review

BOLT: initial approval in ~15 minutes

BOLT is UWM's self-service tool inside EASE that takes a clean file to **initial approval** fast (as little as 15 minutes) on FHA. After you upload the application with required docs, elect BOLT and it walks you step-by-step:

- Data extraction + auto doc recognition pulls info from driver's licenses, income statements, county records, etc.
- Gives you the **same income calculator UWM underwriters use**.
- AI flags potential discrepancies before they become conditions, adding certainty and faster turn times on the file.

Practical tips for cleaner findings

- Get the file to AUS Approve/Eligible **early** — a clean DU/LPA finding sets the structure before you order the appraisal.
- Data integrity drives the result: double-check income, employment dates, and assets before submitting. Garbage in, Refer out.
- If reserves are needed for approval, the finding will say so — read the conditions, don't just look at the headline result.
- DU Refer? Rerun LPA (and vice versa) before assuming manual underwriting.
- Below ~620 FICO, thin credit, or recent derogatory events typically routes to manual UW — build the compensating-factor story (reserves, low DTI, residual income).
- Use **The Source** in EASE to pull UWM guidelines/overlays when a finding cites something you want to verify.

Getting FHA Refis to Approve/Eligible

Cash-Out & Rate-and-Term tactics for UWM FHA (TOTAL Scorecard via DU/LPA)

Two transactions, two LTV ceilings

Everything below applies to **cash-out** and **rate-and-term** only. Know which box you're in before you structure — the LTV ceiling is the first thing the AUS checks. **MAX LTV is 97.75% on rate-and-term. MAX LTV is 80% on cash-out.** These are hard caps:

Transaction	Max LTV	Key seasoning / rules
Cash-Out	80% of appraised value	12 mo owner-occupied + 12 mo on-time pay history; 6 mo min since current loan
Rate-and-Term	97.75% of appraised value	Can refi any loan type into FHA; no equity pulled out

Know your DTI ceilings

UWM's AUS will push FHA back-end DTI to roughly **47% / 57%** (front/back) on a clean TOTAL Scorecard Approve/Eligible — far more room than the manual-underwrite tiers. **Keep the file inside AUS whenever possible.** If it Refers, you drop into the manual tiers:

Path	Front / Back DTI	What's needed
AUS Approve/Eligible	~47% / ~57%	Clean TOTAL Scorecard finding
Manual — 0 comp factors	31% / 43%	Baseline
Manual — 1 comp factor	37% / 47%	One documented factor
Manual — 2 comp factors	40% / 50%	Two documented factors

The 2-of-3 rule: the three big thresholds prop each other up

DTI, LTV, and FICO are the three pillars. The **closer a borrower sits to the edge on any one threshold, the stronger the other two have to be** to keep the file in Approve/Eligible. As a working rule, **at least 2 of the 3 main points need to be solid** — you can't max out all three at once and expect a clean finding.

Examples: a borrower pushing 57% DTI needs low LTV and strong FICO. A maxed 80% cash-out LTV wants comfortable DTI and good credit. A thin 600-ish FICO on cash-out needs the DTI and LTV to be well inside the lines. **When one pillar is stretched, shore up the other two before you submit** — that's what makes the AUS risk-layer in your favor.

Lever 1: Shorten the term to reduce risk

On a refi you control the new term completely — use it. A **shorter term means the home is paid off quicker, which is inherently less risk to the lender**: equity builds faster, the loan is exposed for fewer years, and the

AUS reads that lower risk in the borrower's favor. UWM allows **non-standard terms** (e.g. 27-year, 23-year, down to ~8 years), so you can dial the term to strengthen the file:

- A shorter term builds equity faster and shrinks the lender's exposure window — a cleaner, lower-risk profile for the AUS to layer.
- When a borrower is a hair over on a threshold, dropping the term can be the strength that flips Refer to Approve — a faster payoff offsets risk elsewhere in the file.
- Quote 27 / 23-year side-by-side in Easy Qualifier — the payment delta vs. 30-year is often small while the risk and total-interest picture improve.
- On rate-and-term, the shorter term is an easy sell: lower lifetime cost and faster payoff are the whole point of the refi.

Lever 2: Use assets / reserves as the compensating factor

Reserves are the cleanest factor to document and they help the AUS risk-layer in your favor — especially relevant on cash-out, where the file is scrutinized harder:

- **1–2 units:** 3 months PITI in reserves. **3–4 units:** 6 months PITI. Reserve \$ = Total Monthly Payment × required months.
- On a cash-out, the borrower can hold back part of the proceeds as documented post-close reserves — turning the cash itself into the compensating factor.
- Season reserves (60+ days) and source any large deposits up front with an LOX.
- Document additional income not used to qualify (side gig, part-time) as a secondary factor.

Lever 3: Hit the FICO / DTI / LTV sweet spots

- **FICO:** cash-out is graded tougher than rate-and-term — most overlays want 600–620+. Pushing a borderline score up before submission changes the whole file. Below 620 risks a manual kick.
- **LTV:** cash-out caps at 80%; rate-and-term at 97.75%. Trimming a cash-out below 80% (take slightly less cash) reduces layered risk and helps a borderline DTI clear AUS.
- **DTI:** aim under 50% back-end for comfortable AUS approvals; 50–57% is doable on a clean Approve/Eligible but gets sensitive to credit and reserves. Every point shaved buys tolerance elsewhere.
- **Appraised value drives both LTV and cash:** a strong, well-supported appraisal is the single biggest lever on a cash-out — order comps-supported and review before structuring max cash.

Lever 4: Clean the liabilities before you submit

- **Installment loans:** a debt with **fewer than 10 months remaining** can be excluded from DTI — verify the remaining payment count and knock it out of the ratio. Paying an installment down to under 10 payments left is often cheaper than paying it off entirely.
- **Cash-out to consolidate:** a strong move — pay off high-minimum revolving debt with proceeds so the new DTI drops even as the loan grows. Run the AUS on the post-payoff profile.
- **Student loans:** UWM/FHA uses 0.5% of the outstanding balance if the reported payment is lower (even deferred). Verify an actual amortized payment with documentation to use a smaller figure and drop DTI.
- Medical collections are excluded from FHA DTI; don't pay them off just to qualify. Non-medical collections over \$2,000 may need a calculated payment.
- Re-run AUS after each meaningful change — small liability fixes can flip Refer to Approve/Eligible.

Quick reference for AFEX brokers — FHA cash-out and rate-and-term refinances only. UWM AE access daily via EASE for live loan/pipeline help. DTI ceilings (47/57), FICO, LTV cutoffs (80% cash-out / 97.75% rate-and-term), student-loan calc, seasoning, and reserve requirements reflect FHA / TOTAL Scorecard treatment and UWM overlays as of mid-2026 and can change — always confirm the current numbers in The Source before structuring. AUS findings remain subject to final verification; compensating factors cannot offset negative credit history.